Zebra Technologies
Fourth Quarter and Full Year 2022 Results

February 16, 2023

Safe Harbor Statement

Statements made in this presentation which are not statements of historical fact are forward-looking statements and are subject to the safe harbor provisions created by the Private Securities Litigation Reform Act of 1995. Actual results may differ from those expressed or implied in the company's forward-looking statements. Zebra may elect to update forward-looking statements but expressly disclaims any obligation to do so, even if the company's estimates change. These forward-looking statements are based on current expectations, forecasts and assumptions and are subject to the risks and uncertainties inherent in Zebra's industry, market conditions, general domestic and international economic conditions, and other factors. These factors include customer acceptance of Zebra's offerings and competitors' offerings, and the potential effects of emerging technologies and changes in customer requirements. The effect of global market conditions and the availability of credit and capital markets volatility may have adverse effects on Zebra, its suppliers and its customers. In addition, natural disasters, man-made disasters, public health issues (including pandemics), and cybersecurity incidents may have negative effects on our business and results of operations. Our ability to purchase sufficient materials, parts, and components, and our ability to provide services, software, and products to meet customer demand could negatively impact our results of operations and customer relationships. Profits and profitability will be affected by Zebra's ability to control manufacturing and operating costs. Because of its debt, interest rates and financial market conditions may also have an impact on results. Foreign exchange rates, customs duties and trade policies may have an effect on financial results because of the large percentage of our international sales. The impacts of changes in foreign and domestic governmental policies, regulations, or laws, as well as the outcome of litigation or tax matters in which Zebra may be involved are other factors. The success of integrating acquisitions could also affect profitability, reported results and the company's competitive position in its industry. These and other factors could have an adverse effect on Zebra's sales, gross profit margins and results of operations and increase the volatility of our financial results. When used in this presentation, the words "anticipate," "believe," "outlook," and "expect" and similar expressions, as they relate to the company or its management, are intended to identify such forward-looking statements, but are not the exclusive means of identifying these statements Descriptions of the risks, uncertainties and other factors that could affect the company's future operations and results can be found in Zebra's filings with the Securities and Exchange Commission. In particular, please refer to Zebra's latest filing of its Form 10-K and Form 10-Q. This presentation includes certain non-GAAP financial measures and we refer to the reconciliations to the comparable GAAP financial measures and related information.

Agenda

01 **Q4 Highlights, CEO Transition**
Anders Gustafsson, CEO

02 **Q4 Financials and 2023 Outlook**
Nathan Winters, CFO

03 **Advancing Our Enterprise Asset Intelligence Vision**
Bill Burns, Chief Product & Solutions Officer

04 **Q&A**
Anders Gustafsson, CEO
Bill Burns, Chief Product & Solutions Officer
Joe Heel, Chief Revenue Officer

Fourth Quarter 2022 P&L Highlights (1)

- Strong finish to a challenging year, with sales and profitability near the high end of our outlook
- Organic Net Sales Growth +3.9%
  - Recovered from challenges with N.A. distribution center transition
  - Outperformance in NA and LA, EMEA declined
  - Strong sales to small and medium size customers
  - Printing, data capture, tablets, and RFID were bright spots
- Adjusted EBITDA Margin of 22.5%, up 80bps year-over-year
  - Adjusted Gross Margin declined 10bps primarily due to unfavorable FX offset by lower premium supply chain costs
  - Operating expense leverage primarily due to lower incentive compensation and effective cost management
- Non-GAAP Diluted EPS $4.75, +4.6% year-over-year
- Strong Free Cash Flow

(1) Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results

CEO Transition On Track

Previously Announced on December 8

Bill Burns
- Incoming CEO, effective March 1, 2023
- Current Chief Product and Solutions Officer
- Joined Zebra in 2015 to lead acquired Enterprise business

Anders Gustafsson
- Transitioning to Executive Chair effective March 1, 2023
- Current CEO and Board Director since 2007

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Fourth Quarter P&L Summary[1]

In millions, except per share data	4Q22	4Q21	Change
Adjusted Net Sales	$1,503	$1,467	+2.5%
Organic Net Sales Growth[2,3]			+3.9%
Adjusted Gross Profit	$686	$671	+2.2%
Adjusted Gross Margin	45.6%	45.7%	(10)bps
Adjusted Operating Expenses	$364	$370	(1.6)%
Adjusted EBITDA	$338	$319	+6.0%
Adjusted EBITDA Margin	22.5%	21.7%	+80bps
Non-GAAP Diluted EPS	$4.75	$4.54	+4.6%

SEGMENT ORGANIC SALES GROWTH[2,3]

- EVM Segment (0.2)%
- AIT Segment +13.5%

REGIONAL ORGANIC SALES GROWTH[2,3]

- North America +11%
- EMEA (7)%
- Asia Pacific +3%
- Latin America +7%

EBITDA MARGIN & EPS INCREASE

- Slightly lower Adjusted Gross Margin due to unfavorable FX, partially offset by lower premium supply chain costs
- Improved Adjusted Operating Expense leverage due to lower incentive compensation expense and effective operating expense management, balanced with strategic business investment
- Higher interest costs and lower tax rate
- Lower share count

(1) Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results
(2) Assumes constant FX to prior-year period
(3) Excludes revenue from acquisitions for the 12 months following each respective acquisition date

Cash Flow & Balance Sheet Highlights

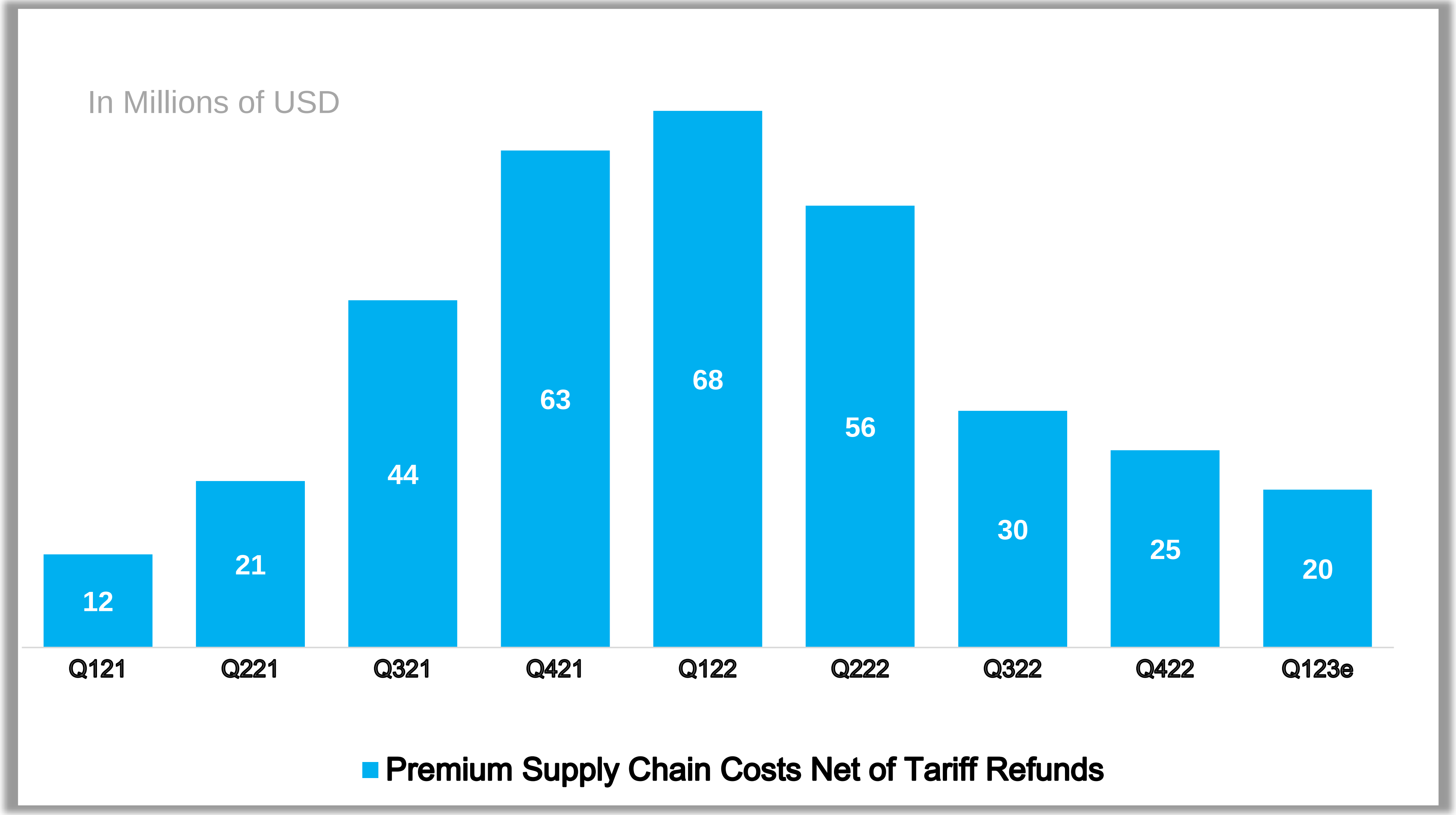
Cash Flow: FY 2022

- $413M free cash flow, $597M lower YoY
  - Higher use of working capital due to elevated inventory
  - Higher incentive compensation payment due to exceptional 2021 performance
  - $135M previously-announced settlement payments
- $881M Matrox acquisition; $12M venture investments
- $751M share repurchases
- $1,037M net debt borrowings

Strong Balance Sheet: FYE 2022

- $105M cash & cash equivalents
- $2,032M total debt on balance sheet
- Net-debt-to-adjusted-EBITDA ratio of 1.6x
- > $1.4B capacity under revolving credit facility

Global Premium Supply Chain Costs



Note: Premium supply chain costs calculation compared to pre-pandemic 2019 baseline

Outlook & Assumptions

1Q23

- Net sales decline between (4)% and (1)% YoY
  - ~ 3 percentage point negative impact from foreign currency changes
  - ~ 150 basis point additive impact from recently acquired businesses(1)
- $20M negative gross profit impact from premium supply chain costs from pre-pandemic baseline
- Adjusted EBITDA margin ~ 21%
- Non-GAAP diluted EPS ~ $3.70 to $4.00

FY23

- Net sales to be in the range of a 3% decline and 1% growth YoY
  - ~ 1 percentage point negative impact from foreign currency changes
  - ~ 50 basis point additive impact from recently acquired businesses(1)
- ~ $50M gross profit impact from premium supply chain costs from pre-pandemic baseline
- Adjusted EBITDA margin ~ 22 to 23%
- Free cash flow ≥ $650M including $180M settlement payments
- Capital expenditures ~ $75-85M
- Depreciation ~ $65-$75M and Amortization ~ $100-$110M
- Stock-based compensation expense ~ $100-$110M
- Cost of borrowing (pre-tax) ~ 5-6% (excludes floating-to-fixed rate swap)
- Non-GAAP tax rate ~ 19% reflecting UK corporate tax rate increase

(1) Refers to impact to growth rate for the 12 months following the acquisition date of Matrox Imaging on June 3, 2022

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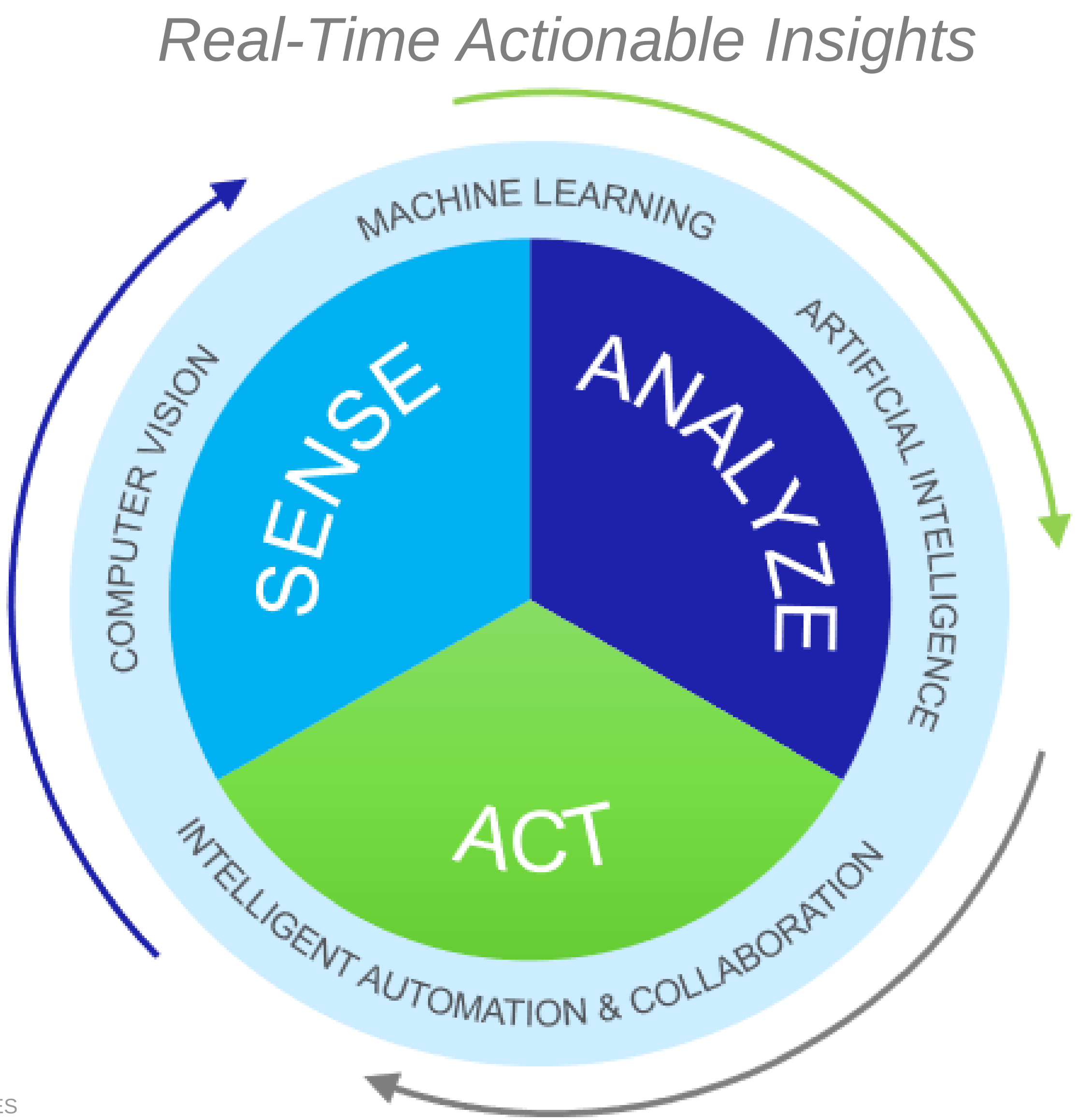
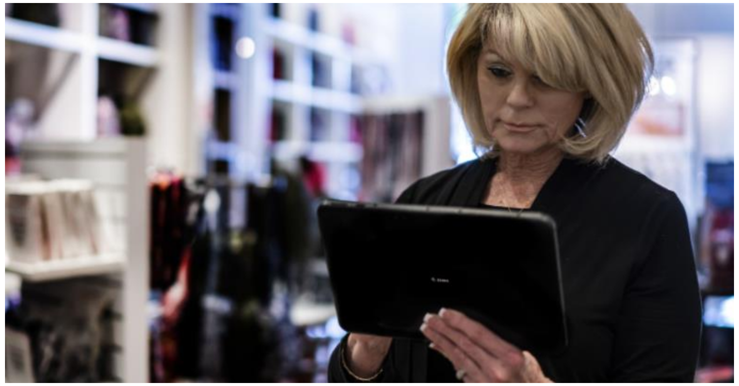
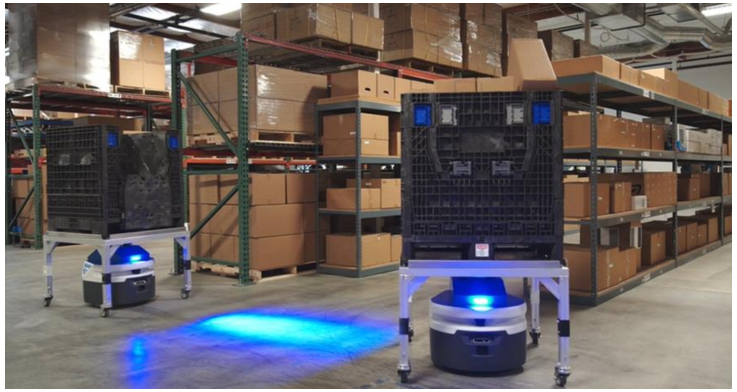
Zebra Digitizes & Automates the Front Line of Business

Transforming Workflows: Purpose-Built Hardware + Software + Cloud Analytics

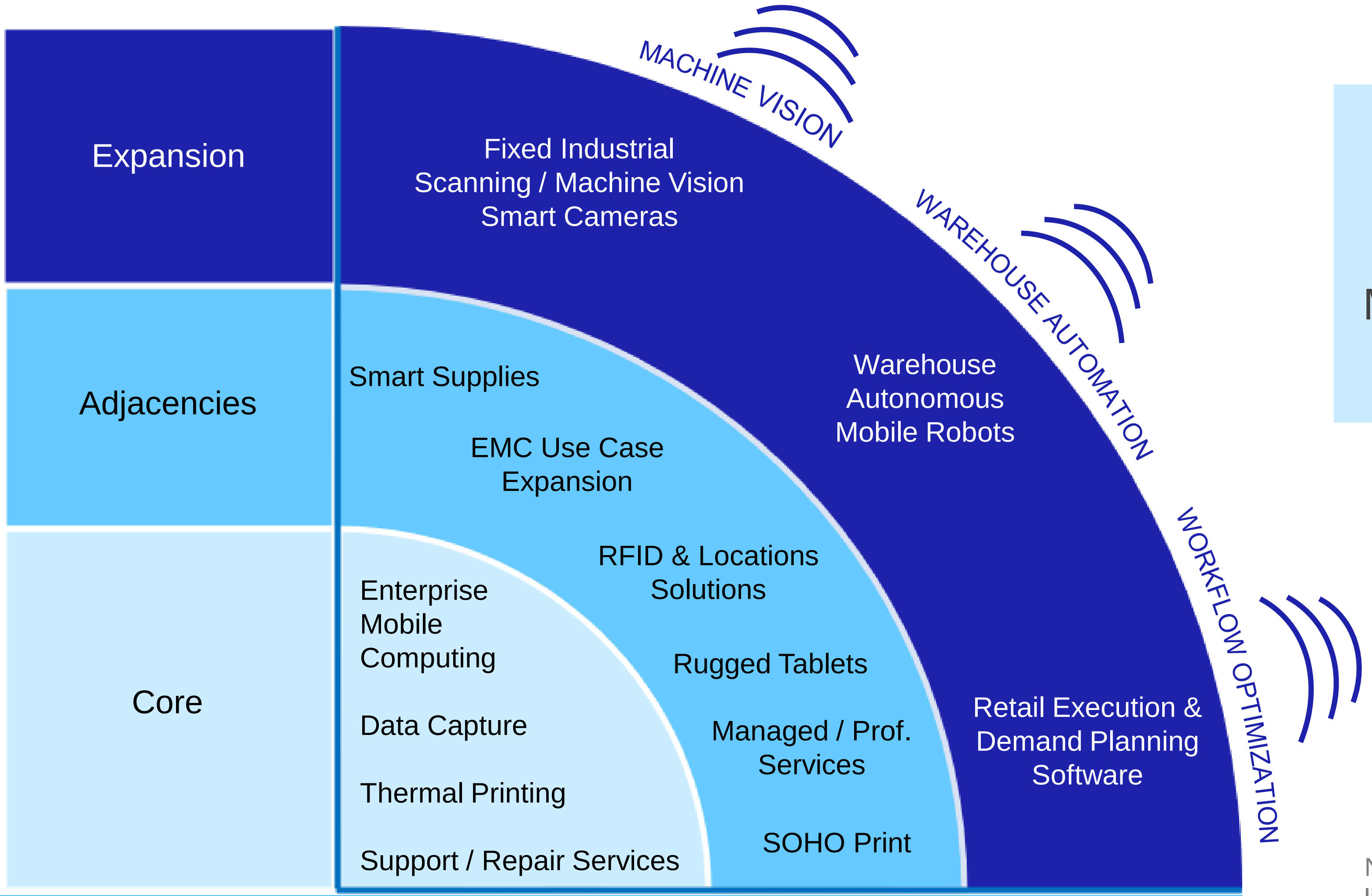






Zebra Well Positioned for 5-7% L-T Organic Sales Growth in $30B Served Market

Attractive Adjacent & Expansion Opportunities Augment Our Vibrant Core



Served Market	~$10-12B	~$12-14B	$6B+
Estimated L-T Market Growth CAGR	4-5%	High-Single Digit	Double Digit

Megatrends

On-Demand Economy
IoT & Asset Visibility
Mobility & Cloud Computing
Intelligent Automation

Note: Not a comprehensive listing of all market opportunities

Source: Third-party research including VDC, internal estimates

Zebra Optimizes Workflows for the On-Demand Economy

Trusted Strategic Partner to Industry Leaders

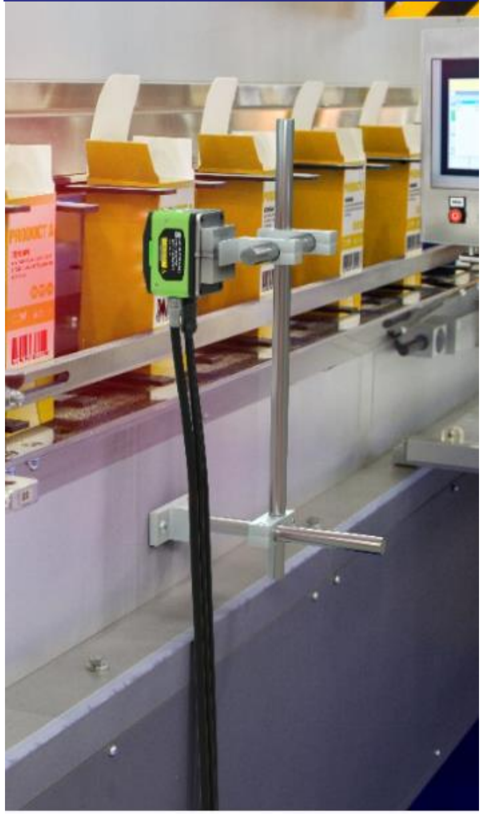
Retail & Ecommerce

- Smarter Omni-Channel
- Optimized Inventory
- Customer Experience

Transportation & Logistics

- Warehouse Automation
- Real-Time Visibility
- Last Mile Delivery

Manufacturing



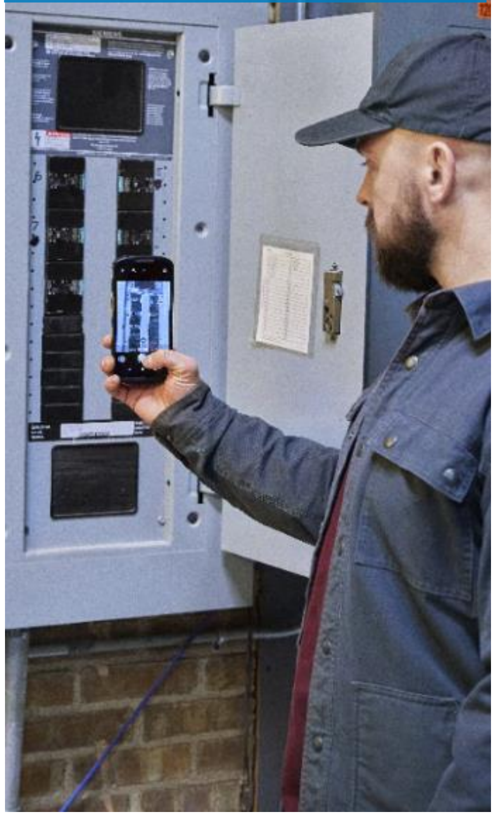
- Quality Assurance
- Track & Trace
- Autonomous Materials Movement

Healthcare

- Clinical Mobility
- Positive Patient ID
- Real-Time Locationing

Other Markets

Includes Government, Education, Hospitality



- Connect Who & What Matters
- Public Safety

The Modern Store by Zebra

Helping Retailers Solve Ongoing Store Challenges

Engaged Associates	Optimized Inventory	Elevated Customer Experience
Reduce employee turnover Reduce store labor spend Improve on-time task completion	Reduce product waste shrink rates Achieve inventory accuracy Easily locate products	Improve customer satisfaction scores Increase transaction value Reduce customer wait times

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Q&A

Appendix

Use of Non-GAAP Financial Information

This presentation contains certain Non-GAAP financial measures, consisting of “adjusted net sales,” “adjusted gross profit,” “EBITDA,” “Adjusted EBITDA,” “Adjusted EBITDA margin,” “non-GAAP diluted net income,” “non-GAAP diluted earnings per share,” “free cash flow,” “organic net sales,” “organic net sales growth,” and “adjusted operating expenses.” Management presents these measures to focus on the on-going operations and believes it is useful to investors because they enable them to perform meaningful comparisons of past and present operating results. The company believes it is useful to present non-GAAP financial measures, which exclude certain significant items, as a means to understand the performance of its ongoing operations and how management views the business. Please see the “Reconciliation of GAAP to non-GAAP Financial Measures” tables and accompanying disclosures at the end of this presentation for more detailed information regarding non-GAAP financial measures herein, including the items reflected in adjusted net earnings calculations. These measures, however, should not be construed as an alternative to any other measure of performance determined in accordance with GAAP.

The company does not provide a reconciliation for non-GAAP estimates on a forward-looking basis (including the information under “Outlook” above) where it is unable to provide a meaningful or accurate calculation or estimation of reconciling items and the information is not available without unreasonable effort. This is due to the inherent difficulty of forecasting the timing or amount of various items that have not yet occurred, are out of the company’s control and/or cannot be reasonably predicted, and that would impact diluted net earnings per share, the most directly comparable forward-looking GAAP financial measure. For the same reasons, the company is unable to address the probable significance of the unavailable information. Forward-looking non-GAAP financial measures provided without the most directly comparable GAAP financial measures may vary materially from the corresponding GAAP financial measures.

As a global company, Zebra's operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations because the underlying foreign currencies in which the company transacts change in value over time compared to the U.S. dollar; accordingly, the company presents certain organic growth financial information, which includes impacts of foreign currency translation, to provide a framework to assess how the company’s businesses performed excluding the impact of foreign currency exchange rate fluctuations. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating current period results at the currency exchange rates used in the comparable period in the prior year, rather than the exchange rates in effect during the current period. In addition, the company excludes the impact of its foreign currency hedging program in the prior year periods. The company believes these measures should be considered a supplement to and not in lieu of the company’s performance measures calculated in accordance with GAAP.

GAAP to Non-GAAP Organic Net Sales Growth Reconciliation

(Unaudited)

	Three Months Ended December 31, 2022		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	10.3 %	(0.9)%	2.5 %
Adjustments:			
Impact of foreign currency translations (1)	3.2 %	3.3 %	3.3 %
Impact of acquisitions (2)	— %	(2.6)%	(1.9)%
Consolidated Organic Net sales growth (3)	13.5 %	(0.2)%	3.9 %

	Twelve Months Ended December 31, 2022		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	4.8 %	1.7 %	2.7 %
Adjustments:			
Impact of foreign currency translations (1)	1.9 %	2.2 %	2.0 %
Impact of acquisitions (2)	— %	(2.2)%	(1.5)%
Consolidated Organic Net sales growth (3)	6.7 %	1.7 %	3.2 %

(1) Operating results reported in U.S. Dollars are affected by foreign currency exchange rate fluctuations. Foreign currency translation impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. Dollar. This impact is calculated by translating the current period results at the currency exchange rates used in the comparable prior year period, inclusive of the Company's foreign currency hedging program.

(2) For purposes of computing Organic Net sales growth, amounts directly attributable to business acquisitions are excluded for twelve months following their respective acquisitions.

GAAP to Non-GAAP Gross Margin Reconciliation

(In millions)
(Unaudited)

	Three Months Ended					
	December 31, 2022			December 31, 2021		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
GAAP						
Reported Net sales [1]	$ 481	$ 1,022	$ 1,503	$ 436	$ 1,031	$ 1,467
Reported Gross profit [1]	218	467	685	188	481	669
Gross Margin	45.3 %	45.7 %	45.6 %	43.1 %	46.7 %	45.6 %
Non-GAAP						
Adjusted Net sales	$ 481	$ 1,022	$ 1,503	$ 436	$ 1,031	$ 1,467
Adjusted Gross profit [2]	219	467	686	188	483	671
Adjusted Gross Margin	45.5 %	45.7 %	45.6 %	43.1 %	46.8 %	45.7 %

	Twelve Months Ended					
	December 31, 2022			December 31, 2021		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
GAAP						
Reported Net sales [1]	$ 1,736	$ 4,045	$ 5,781	$ 1,657	$ 3,976	$ 5,627
Reported Gross profit [1]	746	1,878	2,624	759	1,875	2,628
Gross Margin	43.0 %	46.4 %	45.4 %	45.8 %	47.2 %	46.7 %
Non-GAAP						
Adjusted Net sales	$ 1,736	$ 4,045	$ 5,781	$ 1,657	$ 3,976	$ 5,633
Adjusted Gross profit [2]	748	1,882	2,630	761	1,881	2,642
Adjusted Gross Margin	43.1 %	46.5 %	45.5 %	45.9 %	47.3 %	46.9 %

(1) Consolidated results include corporate eliminations related to business acquisition purchase accounting adjustments that are not reported in segment results.

(2) Adjusted Gross profit excludes business acquisition purchase accounting adjustments and share-based compensation expense.

GAAP to Non-GAAP Net Income Reconciliation

(In millions, except share data)
(Unaudited)

	Three Months Ended		Twelve Months Ended	
	December 31, 2022	December 31, 2021	December 31, 2022	December 31, 2021
Net income	$ 186	$ 191	$ 463	$ 837
Adjustments to Net sales[1]				
Purchase accounting adjustments	—	—	—	6
Total adjustments to Net sales	—	—	—	6
Adjustments to Cost of sales[1]				
Share-based compensation	1	2	6	8
Total adjustments to Cost of sales	1	2	6	8
Adjustments to Operating expenses[1]				
Amortization of intangible assets	29	34	136	115
Acquisition and integration costs	2	14	21	25
Settlement and related costs	—	—	372	—
Share-based compensation	20	21	90	85
Exit and restructuring costs	10	7	14	7
Total adjustments to Operating expenses	61	76	633	232
Adjustments to Other income (expense), net[1]				
Amortization of debt issuance costs and discounts	—	—	4	2
Investment (gain) loss	—	(1)	—	(2)
Foreign exchange loss	8	2	3	5
Forward interest rate swap loss (gain)	1	(9)	(83)	(13)
Total adjustments to Other income (expense), net	9	(8)	(76)	(8)
Income tax effect of adjustments[2]				
Reported income tax expense	39	35	81	131
Adjusted income tax	(50)	(51)	(189)	(211)
Total adjustments to income tax	(11)	(16)	(108)	(80)
Total adjustments	60	54	455	158
Non-GAAP Net income	$ 246	$ 245	$ 918	$ 995
GAAP earnings per share				
Basic	$ 3.59	$ 3.58	$ 8.86	$ 15.66
Diluted	$ 3.57	$ 3.55	$ 8.80	$ 15.52
Non-GAAP earnings per share				
Basic	$ 4.78	$ 4.58	$ 17.59	$ 18.61
Diluted	$ 4.75	$ 4.54	$ 17.47	$ 18.45
Basic weighted average shares outstanding	51,645,205	53,441,215	52,207,903	53,446,399
Diluted weighted average and equivalent shares outstanding	51,942,060	53,877,621	52,558,712	53,902,430

(1) Presented on a pre-tax basis.

(2) Represents adjustments to GAAP income tax expense commensurate with pre-tax non-GAAP adjustments (including the resulting impacts to U.S. BEAT/GILTI provisions), as well as adjustments to exclude the impacts of certain discrete income tax items and incorporate the anticipated annualized effects of current year tax planning.

GAAP to Non-GAAP EBITDA Reconciliation

(In millions)
(Unaudited)

	Three Months Ended		Twelve Months Ended	
	December 31, 2022	**December 31, 2021**	**December 31, 2022**	**December 31, 2021**
Net income	$ 186	$ 191	$ 463	$ 837
Add back:				
Depreciation (excluding exit and restructuring costs)	16	18	67	72
Amortization of intangible assets	29	34	136	115
Total Other expense (income), net	35	(3)	(15)	11
Income tax expense	39	35	81	131
EBITDA (Non-GAAP)	305	275	732	1,166
Adjustments to Net sales				
Purchase accounting adjustments	—	—	—	6
Total adjustments to Net sales	—	—	—	6
Adjustments to Cost of sales				
Share-based compensation	1	2	6	8
Total adjustments to Cost of sales	1	2	6	8
Adjustments to Operating expenses				
Acquisition and integration costs	2	14	21	25
Settlement and related costs	—	—	372	—
Share-based compensation	20	21	90	85
Exit and restructuring costs	10	7	14	7
Total adjustments to Operating expenses	32	42	497	117
Total adjustments to EBITDA	33	44	503	131
Adjusted EBITDA (Non-GAAP)	$ 338	$ 319	$ 1,235	$ 1,297
Adjusted EBITDA % of Adjusted Net Sales	22.5 %	21.7 %	21.4 %	23.0 %

GAAP to Non-GAAP Free Cash Flow Reconciliation

(In millions)
(Unaudited)

	Twelve Months Ended	
	December 31, 2022	December 31, 2021
Net cash provided by operating activities	$ 488	$ 1,069
Less: Purchases of property, plant and equipment	(75)	(59)
Free cash flow (Non-GAAP)[1]	$ 413	$ 1,010

(1) Free cash flow is defined as Net cash provided by operating activities in a period minus purchases of property, plant and equipment (capital expenditures) made in that period. This measure does not represent residual cash flows available for discretionary expenditures as the measure does not deduct the payments required for debt service and other contractual obligations or payments for future business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our entire statements of cash flows.

About Zebra

Zebra (NASDAQ: ZBRA) empowers the front line of business in retail, manufacturing, transportation and logistics, healthcare, and other industries to achieve a performance edge. We deliver industry-tailored, end-to-end solutions that intelligently connect people, assets and data to help our customers make business-critical decisions.

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